

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	
-----	X	

**BRIEF OF COMPLAINANT INTERNATIONAL LONGSHOREMEN’S ASSOCIATION
IN SUPPORT OF THE COMMISSION’S JURISDICTION OVER RESPONDENTS**

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INTRODUCTION

The International Longshoremen’s Association (“ILA”) submits this brief to show that the Federal Maritime Commission (“Commission”) has personal jurisdiction over Respondents Gateway Terminals, LLC (“Gateway”), Charleston Stevedoring Company, LLC (“CSC”), Ports America Florida, Inc. (“Ports America”),¹ SSA Atlantic, LLC (“SSA”), and Ceres Marine Terminals, Inc. (“Ceres”) (collectively, “Respondents”), insofar as they are—or at a relevant time were—marine terminal operators, as that term is used in the Shipping Act of 1984, as amended (the “Shipping Act” or “Act”), within the ports of Charleston and Savannah (the “Ports”).

ALJ Linda S. Harris Crovella entered an Order on March 9, 2023, granting Respondents’ motion to bifurcate this proceeding into a jurisdictional phase and a merits phase. CX_000001.² Accordingly, this brief will show that the Commission has jurisdiction over Respondents as marine terminal operators (“MTOs”) because Respondents furnish wharfage, dock, warehouse, and other terminal facilities (1) by conditioning access to terminal facilities upon payment of fees for their stevedoring/checking and gate operation services; and (2) by sharing operational control over the Ports’ terminal facilities with the Georgia Ports Authority (“GPA”) and South Carolina State Ports Authority (“SCSPA,” together with GPA, the “Ports Authorities”).

¹ Ports America Florida, Inc. was named as a respondent in this case because the publicly disclosed proposed joint venture agreement (Agreement 2011293) included that entity as a contracting party. See CX_001101. Discovery has revealed, however, that another Ports America affiliate has been a marine terminal operator in the Ports for years and is currently the contracting party in the joint ventures as actually implemented. Regardless, this brief will show that all the contracting parties were marine terminal operators in the Ports at all relevant times before and after the joint venture. This brief will use the term “Ports America” to include the Ports America affiliate operating in Savannah and Charleston.

² Reference to the Appendix, submitted herewith, will be cited as “CX ____.”

PROCEDURAL POSTURE

In their initial May 9, 2022 motion to dismiss, Respondents submitted a letter from the Office of General Counsel opining that the Parties to FMC Agreement No. 2019-06783 “do not appear to be marine terminal operators (MTOs) as defined by the Shipping Act of 1984, and that this agreement therefore falls outside of the Commission’s jurisdiction.” CX_000021. The August 6, 2019 opinion letter from General Counsel’s Office expressly states that the opinion is not binding on the Commission. CX_000025.

On January 23, 2023, Respondents filed its fourth motion to dismiss, asking for bifurcation of the proceeding into a jurisdictional phase, followed by a hearing on the merits if necessary. Respondents asked that the Amended Verified Complaint (AVC) be dismissed if the ILA could not establish the Commission’s jurisdiction over Respondents. CX_000033 (After the bifurcated discovery, “Respondents anticipate submitting a narrowly-tailored motion for summary judgment based on a lack of personal jurisdiction.”).

ALJ Crovella granted this relief in the March 9, 2023 Order. CX_000001. The Order also specified that no discovery motions should be filed, but gave the ILA opportunity to argue in its brief any discovery issues and what outstanding discovery could show as it pertains to the Commission’s jurisdiction. CX_000006 (“No discovery motions will be permitted on the jurisdictional issue and any objections to discovery issues should be addressed in the parties’ briefs.”).

RESPONDENTS HAVE REFUSED TO PROVIDE NECESSARY DISCOVERY

Given that relevant discovery on Respondents' roles in Charleston and Savannah is almost all within Respondents' control, and given that the ILA's ability to move to compel was limited, Respondents used the situation to their advantage. Respondents dragged their feet producing any documents at all, and when pressed, finally produced only formal legal documents such as leases, licensing agreements, and other contracts. They failed to produce anything that would speak to the day-to-day operation of the terminals, such as correspondence, emails, phone records, payments, and invoices.

The ILA served its initial discovery demands on January 19, 2023, prior to the filing of the Parties' Joint Status Report. CX_000037. On February 21, 2023, Respondents served a detailed written response—but **no** responsive documents. CX_000047. Among other objections, Respondents stated, without any support, that they had no obligation to provide any documents until 30 days **after** the discovery period commenced on February 24, 2023. CX_000048. Regardless of the outcome on the motion to bifurcate, Respondents knew they would have, at a minimum, discovery obligations with respect to jurisdiction, thus giving Respondents more than two months to address the ILA's requests. Yet Respondents had still produced nothing until they were ordered to do so by this tribunal. CX_000006; CX_000158 (requiring Respondents to produce responsive documents by March 29, 2023). Even though Respondents told the ALJ in January 2023 that they were ready to produce the discrete set of documents that had been submitted to the Commission in 2019 during review of FMC Agreement No. 2019-06783, *see* CX_000033, Respondents refused to actually produce those document until forced, *see* CX_000158, eventually

producing the documents on March 27, 2023—more than two months after the initial document requests were served, *see* CX_000071.

Also, since serving its First Request for Documents, the ILA has repeatedly expressed its willingness to develop mutually agreeable search terms for electronic discovery for emails, and has proposed such search terms, and has offered twice to narrow those terms. *See* CX_000144; CX_000148; CX_000151. Yet Respondents have refused to engage with the ILA, stating that they had no intention to search **any** email database **at all**. *See* CX_000147; CX_000149. On April 17, 2023, the ILA again reiterated that it was amenable to meet and confer so that the parties could come to a workable agreement on narrowing the search terms proposed in the March 11, 2023 letter. CX_000148. The ILA asked in the alternative that that Respondents provide their own set of search terms (and records custodians) that they believe would be reasonable under the circumstances, but Respondents refused. CX_0001487-88. Likewise, Respondents have refused outright to produce any letters or correspondence in their possession. CX_000147-51.

On April 5, 2023, Respondents emailed that that “[Respondents] do not consider email correspondence is necessary at this stage when the jurisdictional documents [Respondents] have collected should be sufficient to establish that the FMC does not have jurisdiction over this dispute.” In other words, Respondents were only willing to produce selected documents that supported Respondents’ position. That is not how discovery works. *See* CX_000150.³

³ These concerns should obviously be read with ALJ Crovella’s March 9, 2023 and March 17, 2023 Orders in mind. *See* CX_000006; CX_000157. In the typical situation, the ILA would have sought to compel production of the jurisdictional documents it sought so that the Commission could determine what documents the ILA was entitled to review so that the present motion could be based on a full and complete record, but the ILA was barred from doing that.

The key issue of jurisdiction is whether Respondents operate the terminal or exercise control over the terminal. Despite what a contract might say, actual control is shown by day-to-day behavior. And the documents showing day-to-day operations are what has been withheld from Respondents' production. Moreover, to date, the ILA has only received documents from four of the five Respondents; the ILA has received nothing from Ports America at all. *See* CX_000146-47. As already described, *see supra* p. 1, fn. 1, the ILA named as a respondent the Ports America affiliate that was listed in the publicly disclosed agreement filed with the Commission. Evidently, this was not the actual affiliate that acted as a terminal operator in the Ports. Respondents' counsel has taken the position that because Ports America Florida, Inc., is not an entity that has actually operated within the Ports, Ports America has no obligation to search for or produce any documents within the possession of the Ports America entity that *does* operate in the Ports. *See* CX_000146-47.

However, the Federal Rules of Civil Procedure specify that a party must produce relevant documents or information that is within the party's "control." Fed R. Civ. P Rule 34(a). "Control" means the "ability to obtain documents upon demand." *United States ITC v. ASAT, Inc.*, 411 F. 3d 245, 278 (D.C. Cir. 2005); *In re NTL, Inc. Sec. Litig.*, 244 F.R.D. 179, 195 (S.D.N.Y. 2007) (defining control as the practical ability to obtain documents from a non-party to the action.)

When the ILA served its discovery request, it defined "Ports America" as follows: "Ports America means Ports America Florida, Inc., and any corporate parent, subsidiary, or affiliate that ever conducted business in the Ports of Charleston and Savannah during the relevant time period . . ." CX_000039. Thus, Ports America Florida was clearly made aware of the information that the ILA was looking for in discovery.

Yet when questioned by the ILA as to whether Ports America Florida had no “practical ability” to obtain discovery from its affiliates in Charleston and Savannah, Ports America’s counsel said that Ports America had not even **tried** to **obtain** such discovery, blaming the ILA for naming the wrong corporate entity. CX_000146. The reason the ILA named the entity that it did is because that is the entity **Ports America** chose to put on its public filing with the Commission. The ILA is unable to amend its complaint until it gets discovery, but now Ports America is deliberately withholding that discovery. *See id.*

The Commission should not countenance this gamesmanship. Respondents’ are demanding that the Commission divest itself of jurisdiction over the two largest ports in the Southeast United States,⁴ but they are demanding that this should happen on an incomplete record: a record that is incomplete **solely** because Respondents have refused to comply with their discovery obligation under the Federal Rules. Fed R. Civ. P Rule 34(a).

The March 9, 2023 Order asks the ILA to state what discovery is outstanding and describe what it would show. As the ILA stated in its March 11, 2023 letter, Respondents’ refusal to provide any correspondence whatsoever prevents discovery of evidence tending to show who has *de facto* control over various parts of the terminal. CX_000151. Despite what Respondent’s handpicked contracts and leases may say, control over the terminal is established by the facts elicited from day-to-day communications and operations.

Specifically, the ILA had sought correspondence between (1) Respondents and between Respondents and the Port Authorities concerning Respondents’ ability or authority to utilize,

⁴ If the Commission lacks jurisdiction over Respondents, it will lack jurisdiction over both ports altogether because the other terminal operators are state entities. *See Fed’l Maritime Comm’n v. South Carolina Ports Auth.*, 535 U.S. 743 (2002).

occupy or operate within, any property at marine terminals in the Ports; (2) between Respondents and common carriers concerning rates, fees, tariffs or charges quoted, charged, or billed to common carriers by Respondents in the Ports during the relevant time period; and (3) between Respondents and the Port Authorities concerning rates, fees, tariffs or charges quoted, charged, or billed to common carriers by Respondents in the Ports during the relevant time period.

The ILA believes that Respondents' communications with common carriers and ocean carriers concerning any rates and fees charged to the carriers by Respondents would demonstrate a level of control over the Ports' facilities possessed by Respondents beyond that of a typical stevedore. The ILA likewise believes that the communications between Respondents and the Ports Authorities could be similarly illustrative of the level of Respondents' involvement in marine terminal operations. Though some of the contracts and leases may have language that sheds light on this control, the ILA has no way to know the extent of Respondents control—or joint control over the marine terminals shared with the Ports Authorities—until the ILA has the opportunity to view these communications.

The ILA had also sought any vendor agreements within Respondents' control but has not received any agreements to date. These vendor agreements could show whether Respondents are responsible for maintaining the marine terminal, the spaces lease by Respondents from the Ports Authorities, and the warehouses and/or areas of the terminal yard leased from the Ports Authorities, and the extent of Respondents' involvement with the maintenance of the marine terminal.

Similarly, the ILA also sought documents and communications relating to any warehousing within the two Ports that were within Respondents' control. Though some of the lease and license agreements list warehousing services and show warehousing space leased by Respondents, Respondents have provided no documents which show communications between the carriers and

Respondents, or Ports Authorities and Respondents, concerning warehousing. Again, this discovery would show that Respondents offer marine terminal services to the carriers that call within the two Ports.

The same can be said for communications with the carriers relating to gate operations. Though the documents that were provided show that Respondents CSC and Gateway have control over the marine terminal and road side gates within the two terminals, communications and correspondence with carriers and shippers over access to the gates, and the fees and rates charged by Respondents for use of the gates, would also demonstrate Respondents' control.

LEGAL STANDARD

In cases such as this one, where jurisdiction is being decided based upon “affidavits and discovery materials without holding an evidentiary hearing,” the ILA has the burden of making out a *prima facie* showing of personal jurisdiction over Respondents. See *AT&T v. Compagnie Bruxelles Lambert*, 94 F. 3d 586, 588 (9th Cir. 1996). Dismissal is appropriate only if the plaintiff fails to make such a “*prima facie* showing of personal jurisdiction.” *Id.* (citations omitted). Thus, in determining whether the ILA has met its burden in this case, “conflicts between the facts contained in the parties’ affidavits must be resolved in [the ILA’s] favor for purpose of deciding whether a *prima facie* case for personal jurisdiction exists.” *Id.* citing *WNS, Inc. v. Farrow*, 884 F. 2d 200, 203 (5th Cir. 1989); see also *Kira Chen v. U.S. Sports Acad., Inc.*, 956 F. 3d 45, 51 (1st Cir. 2020) (court must use *prima facie* standard for personal jurisdiction unless the court holds “a full-blown evidentiary hearing”).

ARGUMENT

The Commission applies a two-part test to determine whether an entity meets the definition of a marine terminal operator under the Shipping Act: (1) if the entity furnishes wharfage, dock,

warehouse, or other terminal facilities; and (2) if the facilities are provided in connection with a common carrier. 46 U.S.C. § 40102(15). Since it can hardly be disputed that Respondents provide their services in connection with common carriers, this brief will focus only on the first prong of the test.

The critical factor in determining whether an entity “furnishes wharfage, dock, warehouse, or other terminal facilities” is the extent of the entity’s control and administration over terminal facilities and “the degree to which [its] involvement enables [it] to discriminate.” *Plaquemines Port, Harbor & Terminal Dist. v. Fed. Mar. Comm’n*, 838 F.2d 536, 541 (D.C. Cir. 1988), *affirming New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal Dist.*, 23 S.R.R. 1363 (FMC 1986) (“*Plaquemines II*”). Above all else, the statutory scheme of the Act “contemplates regulation of any entity if it exercises sufficient control over terminal facilities to have a discernible effect on the commercial relationship between shippers and carriers involved in that link in transportation.” *Plaquemines Port, Harbor & Terminal Dist.*, 21 S.R.R. 1072, 1079 (1982), *appeal dismissed*, No. 82-1941 (D.C. Cir. May 17, 1983) (“*Plaquemines I*”).

I.

RESPONDENTS CONTROL ACCESS TO THE PORT TERMINALS

In *Plaquemines II*, the D.C. Circuit affirmed the Commission’s ruling that the Plaquemines Port Harbor and District was a MTO within the meaning of the Act, stating:

We agree with the FMC that the Port's combination of offering essential services and controlling access to the private facilities amounts to the furnishing of terminal facilities. Like the FMC, we read the purpose of the relevant portions of the 1916 Act, and its successor, the 1984 Act, to be the prevention of discrimination in the provision of terminal facilities. Ownership or operation of terminal facilities is not a necessary prerequisite to the ability to discriminate. Thus, the critical issue for jurisdiction is that the degree of the Port's involvement enables the Port to discriminate. In

this case, the Port has the ability to discriminate in the fees it charges by controlling access to private terminal facilities. This is sufficient to sustain FMC jurisdiction.

838 F.2d at 534. *Plaquemines II* made it clear that owning or operating a marine terminal is not a prerequisite to a finding that a party is a marine terminal operator under the Shipping Act. *Id.* at 543. Rather, the Port Harbor and District came under the Commission's jurisdiction because it provided essential terminal services, assessed fees for the services, and conditioned access to facilities upon payment of the fee. *Id.* (when ports "begin to charge a fee for their services and to control access to private facilities to enforce their charges," they will be adjudged to have furnished marine terminal facilities.).

Here, Respondents must be considered MTOs under *Plaquemines II* because they are able to restrict access to the terminal in two ways that are **both** essential to the operation of the marine terminals.⁵ See *Carolina Marine Handling, Inc. v. S.C. State Ports Auth., et al.*, No. 99-16, 2000 WL 722274 (May 2, 2000) (finding that Respondent offering essential services and controlling access to private facilities is an MTO, though it did not directly operate or act as a landlord for those facilities). First, Respondents, as the exclusive providers of stevedoring and checking services, have the ability to condition access to the terminals by requiring the carriers to commit to hiring them for these services. Second, Respondents literally control access to the terminal through their control over the gate interchanges in the Ports.

⁵ SSA, Ceres, and Ports America share controlling interests in CSC and Gateway. McLaughlin Decl. ¶¶ 42-43; CX-000204; CX_000337; CX_000390; CX_000498. The companies also provide individual services to CSC and Gateway as part of separate services agreements. CX_000441 (services agreement between Ceres and Gateway); CX_000478 (services agreement between SSA and Gateway); CX_000537 (services agreement between Ports America and Gateway); CX_000224 (services agreement between Ports American and CSC).

A. As the Exclusive Provider of Stevedoring and Checking Services, Respondents Can Condition Access to the Terminals Based on Payment of their Fees

It is clear that Respondents acted as MTOs in the ports even prior to the joint ventures, but that status was only **strengthened** when each joint venture became a monopoly in each port. The Respondent Joint Ventures are the “exclusive providers” of stevedoring services at Wando Welch, North Charleston, and Leatherman Terminals in Charleston, and at Garden City and Ocean Terminals in Savannah. CX_000204; CX_000212; CX_000221; CX_000390; CX_000441; CX_000587. They are now the only option in each port. See CX_000221; CX_000587. As a result, the carriers’ access to these terminals is conditioned upon whether or not the carrier agrees to contract with Respondents. See CX_000245-63; CX_000556-84.

An entity “furnishes” terminal facilities if access to the terminal is conditioned upon a commitment to use that entity’s exclusive services. *Petchem, Inc. v. Canaveral Port Auth.*, 84-28, 1986 WL 170038 (1986). As the Commission explained in *Petchem*:

Normally, it is true that the selection of the tugboat operator is within the exclusive province of the carrier and that terminals themselves do not become involved in the actual docking and undocking of vessels or in the arrangements thereof. . . . Where, as here, however, the terminal operator has usurped the normal function of the carrier and **made the very access to the terminal facilities dependent upon a commitment to Tampa Towing for tug service under the terms of an exclusive right contract, the furnishing of tugboat service has in effect been transformed into a terminal function intimately related to the receiving, handling, transporting, storing, or delivering of property.**

Id. at *11 (emphasis added). Thus, once a carrier is required to use a particular entity for a marine terminal service, access to the terminal becomes conditioned on that entity, and the entity is considered a marine terminal operator. This is the case even if the services provided—such as the

tug boat services in *Petchem* or the stevedoring services here—may not in and of themselves come under the Commission’s jurisdiction.

Likewise, in *Canaveral Port Auth.*, the Commission held that when a port authority conditions access to a marine terminal on the carriers’ use of a certain entity to provide a terminal service, that entity is empowered to restrict access to the port, and jurisdiction over that entity is conferred on to the Commission:

CPA restricts access to the port through its franchise system; vessels may access the port only by using Seabulk’s tug services. By **controlling who may offer tug services and by granting that right to only one tug company, CPA has made access to the terminals and terminal facilities dependent on a commitment to Seabulk, and thus has limited the prerogative of carriers to choose a tug operator . . .** Consistent with the D.C. Circuit’s conclusions in *Plaquemines*, this control of access amounts to the furnishing of terminal facilities within the Shipping Act’s definition of marine terminal operator.

Canaveral Port Auth., Nos. 02-02, 02-03, 2003 WL 21551810, at *6 (July 8, 2003) (emphasis added).

Respondents Gateway’s and CSC’s control over access to the marine terminals offers an even stronger case for MTO jurisdiction. Like Seabulk in *Canaveral Port Auth.*, the Port Authorities restrict access to either port through the operation of the exclusive joint venture—if a carrier does not agree to pay the rates and fees set by CSC or Gateway, that carrier cannot call at the port. *See id.* A carriers’ selection of CSC or Gateway—both of which are controlled by the other Respondents who are marine terminal operators in other East Coast and Gulf ports—is therefore required before the carriers can utilize the marine terminal facility infrastructure in Charleston and Savannah. And there can be no debate that the services provided by CSC and Gateway are “essential” to the terminal facility—the loading and unloading of cargo is the

primary function of the terminal; without these stevedoring services, the facility has little reason to exist. CSC and Gateway’s “checking . . . handling, heavy, lift, loading and unloading” services are tellingly listed in the FMC’s own definition of terminal services.

CSC and Gateway negotiate and contract directly with the carriers for their services. CX_000245-63; CX_000556-84. They also set their own rates with the carriers. CX_000606 (“Gateway shall invoice ocean carriers for vessel stevedoring services based on rates negotiated and agreed upon between Gateway and the applicable ocean carrier.”); CX_000214 (“CSC will provide Stevedore Services directly to ocean carriers pursuant to contracts between JV and such ocean carriers or as subcontractor for parties directly contracting with such ocean carriers.”).⁶ This ability to condition access to terminal facilities upon a commitment to pay Respondents’ fees allows Respondents to discriminate against common carriers seeking to use the terminal facilities.

As the carriers in *Canaveral Port Auth.* had no choice but to choose Seabulk as a tug operator, so too are the carriers here limited to CSC in South Carolina and Gateway in Savannah as the exclusive providers of stevedoring. *See* 2003 WL 21551810, at *6. Thus, Respondents have “made access to other terminals and terminal facilities dependent on a commitment to [CSC and Gateway].” *Id.* As a result, the furnishing of CSC’s and Gateway’s stevedoring services have “in effect been transformed” into the furnishing of terminal facilities within the meaning of the Shipping Act. *See Petchem*, 84-28, 1986 WL 170038, *11.

B. Respondents Can Condition Access to the Terminal because of their Control over the Gates

Setting aside the fact that access to the two Ports is conditioned on the selection of Gateway and CSC for marine terminal services, Respondents also operate a key part of the marine terminal

⁶ CSC is also granted the right to negotiate tariff rates for their services. CX_000221.

facility infrastructure in Charleston and Savannah: the gates. By operating the gates, Respondents are able to condition and restrict access to the marine terminals in the Ports. This fact alone should be sufficient to resolve the jurisdictional issue.

The assessment of terminal gate fees to common carriers, and control over who is able to enter or leave the terminal through the truck gate interchange, enables an entity to discriminate against common carriers. See *Petchem, Inc.*, 1986 WL 170038, *10-11 (harmonizing prior Commission decisions which have found that conditioning access to a port's private facilities upon the payment of a charge for services reflects significant threshold control over terminal facilities). For example, in *Plaquemines II*, after reviewing prior federal court and Commission decisions considering the role that gate fees play in determining MTO status, the D.C. Circuit explained that an entity will be deemed an MTO when that entity "begins to charge a fee for their services and to control access to private facilities to enforce their charges." 838 F.2d at 543.

The Court concluded that above all, the purpose of the relevant portions of the Shipping Act was the prevention of discrimination in the provision of terminal facilities and that when an entity "has the ability to discriminate in the fees it charges by controlling access to private terminal facilities," the FMC has jurisdiction over that entity. *Id.* at 543. Both the Commission and the Court of Appeals in *Plaquemines II* adopted factual findings showing that Plaquemines Port levied a harbor fee on all "commercial cargo vessels which dock, moor, or anchor" within the Port. The tariff provided that any vessel failing to pay the fee would be denied "access to the Port and the private facilities within its jurisdiction." *Id.*

Here, there is no dispute that Respondents CSC and Gateway assess gate fees against the common carriers which call on Charleston and Savannah and that access to the terminal facilities within those ports are conditioned upon the payment of those fees. CX_000221; CX_000606.

Nor is there is a dispute that Respondents have control over whether truck drivers may enter or leave the facility. McLaughlin Decl. ¶¶ 27-29; Sims Decl. ¶¶ 24-36.⁷

In their 2019 Joint Response to a Request for Additional Information from the Commission, Respondents contrasted their extensive role controlling the gates in Charleston and Savannah, compared to their roles at other ports:

The role of the Parties in ports such as Savannah and Charleston, where the Parties control the gates, is significantly different from their role in ports where they have no control over gate operations (and therefore act solely as stevedores) such as Norfolk and Houston. In Norfolk and Houston, the Parties' role is to load and unload containers between the vessel and the point of rest. In contrast, in Savannah and Charleston, the Parties exercise control over access to the terminal itself, as well as playing a significant role in yard planning and . . . moving cargo within the facility. This more expansive role requires closer cooperation with the port authority, and allows for more efficient and integrated gate/yard/vessel operations.

CX_001034-35.⁸

⁷ The Declaration of Lance McLaughlin is cited as McLaughlin Decl. ¶ _ and is submitted as part of the Appendix as CX_001124-29; the Declaration of Steve Sims is cited as Sims Decl. ¶ _ and is submitted as part of the Appendix as CX_001136-43; the Declaration of Charles Brave is cited as Brave Decl. ¶ _ and is submitted as part of the Appendix as CX_001117-123; and the Declaration of Paul Mosley is cited as Mosley Decl. ¶ _ and is submitted as part of the Appendix as CX_001130-35.

⁸ Respondents explained further that the gate company at the Port of Charleston, Charleston Gate, was “owned 1/3 each by Container Maintenance Corporation (“CMC”), SSA and Ceres, “while the gate company in Savannah, Gateway, was “owned 1/3 each by SSA, Marine Terminal Corporation East (a Ports America company) and Ceres.” CX_001031. Respondents controlled the access of cargo into and out of the terminals through the gate companies. CX_001032. Respondents “through their gate company direct the cargo placement to a point designated by the gate company within the terminal (for export) or direct the drayage trucker to cargo at a designated point within the terminal for pick-up (for import).” CX_001025.

Contemporary agreements provided in response to the ILA's First Request for the Production of Documents establish that CSC and Gateway each assess gate fees and enforce those fees through their control of the gates at the Ports. *See* CX_000221; CX_000245; CX_000606.

Through a license agreement between SCSPA and CSC, SCSPA conferred on CSC the right to participate, along with another entity, Container Maintenance Company ("CMC") in the Charleston Gate Company. CX_000221. Charleston Gate Company performs gate services at the Port of Charleston, under the mutually agreed terms of CSC and CMC. *Id.*; *see also* CX_001038. Under the license agreement, the Charleston Gate Company bills CSC for its services and CSC negotiates the gate company's fees for gate services directly with the container shipping lines. CX_000221. The licensing agreement is valid through December 31, 2029, with the option for CSC to extend the agreement for an additional five years. CX_000213.

In other words, Respondent CSC, as well as Respondents Ports America, Ceres and SSA, which comprise CSC's Board of Directors and control CSC, *see* CX_000204, are currently responsible for overseeing the gate company at the Port of Charleston and for negotiating tariff rates, which include fees for gate services. Under these agreements between CSC and the carriers which call in Charleston, CSC consistently charges carriers for "Charleston Gate Services." CX_000245-63 (CSC's rate agreements with the container shipping lines showing that CSC bills the carriers directly for gate services).

In Savannah, Respondent Gateway is the exclusive provider of gate services at the terminals. CX_000587; CX_000623. Gateway alone negotiates the rates for the terminal gate fees paid by the carriers. CX_000606. Through a license agreement between GPA and Gateway, "GPA designates Gateway as the exclusive provider of container vessel stevedoring and gate services" at Garden City Terminal and Ocean Terminal in the Port of Savannah. CX_000587.

This agreement is effective from January 1, 2022 through December 31, 2031, with the option to extend the agreement for an additional five years. CX_000587-88. Exhibit A of that license agreement lists gate and stevedoring rates assessed by Gateway, specifying that “Gateway shall invoice ocean carriers for gate services based rates negotiated and agreed upon between Gateway and the applicable ocean carrier.” CX_000606. Exhibit D of the license agreement describes the gate services under Gateway's control, granting Gateway the right to utilize equipment owned by GPA in the provision of its gate services and specifying that Gateway will provide all personnel to operate the gates at its “sole cost and expense.”⁹ CX_000623. Gateway collects a fee on each interchange of a shipping container which moves through the gate. Sims Decl. ¶ 36.

Either directly (Gateway) or on behalf of a related gate company under its control (CSC), Respondents negotiate and assess gate fees charged to common carriers. See CX_000221; CX_000606. And Respondents condition access to all terminal facilities through their control over these gates. See *Plaquemines II*, 27 F.M.C.2d at 151. Because these gate charges are levied by Respondents as a condition of carriers’ access to the Ports, Respondents exhibit significant control over terminal facilities to an extent that permits them to discriminate against common carriers. *Plaquemines II*, 838 F.2d at 543.

Moreover, in both ports, Respondents have staffing and operational control over the gates. Sims Decl. ¶¶ 24-36; McLaughlin Decl. ¶¶ 27-29. This grants Respondents control over who can enter or leave the terminal and, thus, can restrict access to terminal facilities. CSC and Gateway

⁹ Moreover, Gateway’s Operating Agreement provides: “The service level expectation of the GPA requires that gate flow is maintained in a way that minimizes line wait times, keeps truck ques at a minimum and fully leverages all assets made available to the gate service provider. The GPA expects that the Gate Service Provider maintains a direct management presence with visible supervision during gate operating hours.” CX_000476.

employees review the documentation of the road trucks entering and exiting the facility to determine whether the driver can proceed through the gate. Sims Decl. ¶¶ 24-36; McLaughlin Decl. ¶¶ 27-29. In Savannah, a clerk working for Gateway verifies a truck driver's container number and inspects the container and chassis are the gate interchange. Sims Decl. ¶ 29. The Gateway clerk can deny or restrict access if the driver has the wrong container number, a loaded container is not sealed, hazardous cargo does not have a placard, or the container or chassis is damaged. Sims Decl. ¶¶ 29-35. Gateway clerks can also turn a truck around and send the driver back to the stacks or for maintenance and repair if a container is damaged. Sims Decl. ¶ 32. Similarly, in Charleston, when a carrier arrives at the terminal yard gate to drop off a container or pick up a container from the shipping yard, a ILA Local 1771-represented Gateway employees reviews the paperwork and credentials of the trucker before granting access to the terminal. McLaughlin Decl. ¶ 27. If the paperwork is insufficient, a Gateway employee denies access to the trucker. McLaughlin Decl. ¶ 28.

Accordingly, in addition to conditioning access to the marine terminal on the selection of and payment to CSC and Gateway for marine terminal services, CSC and Gateway can literally deny access to the two marine terminals.

II.

RESPONDENTS OPERATE TERMINAL FACILITIES IN CHARLESTON AND SAVANNAH

In *Plaquemines II*, the D.C. Circuit affirmed the Commission's finding that the Plaquemines Port Harbor and District was an MTO within the meaning of the Act even though it played **no** role in the operation of the marine terminals. 838 F.2d at 540. In that case, the terminals were fully controlled and operated by private companies. *Id.* The Port Harbor and District,

however, operated “patrol/rescue/fire vessels” for which it charged a tariff to all port and harbor users. *Id.* Thus, while the Port Harbor and District did not actually operate the terminal, this “combination of offering essential services and controlling access to the private facilities amounts to the furnishing of terminal facilities” was sufficient to establish jurisdiction under the Act. *Id.* at 543.

Here, however, Respondents **do** operate the terminal facilities on a daily basis. This is **not** a case involving entities whose connection to the facility is tangential, like the harbor fees in *Plaquemines* or the tugboat operators in *Petchem*. Rather, Respondents are intimately involved in almost every aspect of the facilities. The record developed so far makes clear that the Respondents **work hand-in-hand** with the port authorities in the operation of the marine terminals and have operational and staffing control of key terminal infrastructure (*e.g.*, the terminal gates). See *Plaquemines I*, 21 S.R.R. at 1080 (“Commission finds that such pervasive involvement in the business of common carriers, marine terminals and the commerce of the United States confers on the Commission jurisdiction over the Port.”).

For example, Respondents **furnish warehousing** in the Ports, one of a handful of facilities specifically identified in the Commission’s definition of MTOs. See Mosley Decl. ¶¶ 26-29; Sims Decl. ¶¶ 39-42; McLaughlin Decl. ¶¶ 20-26. CSC leases warehouses and large portions of the terminal area from SCSPA in both the North Charleston and Wando Welch terminals. See McLaughlin ¶¶ 21-22; CX_000199 (defining 1.16-acre area where transload services are offered). Within these designated areas, CSC employs members of ILA Local 1422 to stuff and strip shipping containers and store the contents of the containers within the warehouse or terminal area. McLaughlin Decl. ¶¶ 21-25; *see also* McLaughlin Decl. ¶ 37. CSC charges the carriers a fee for this stuffing and stripping performed on the facility premises. McLaughlin Decl. ¶ 26. In

Savannah, Ports America performs warehousing services at sheds and open field spaces at Garden City Terminal. Sims Decl. ¶¶ 39-42. To provide these services, Ports America employs a shed gang (comprised of a header and a few other Local 1414-represented employees) and a chief clerk to stuff and strip containers. These containers and the cargo loads are stored at warehouses before and after they are stripped and stuffed. Sims Decl. ¶¶ 39-42; Mosley Decl. ¶¶ 26-29. SSA also lease several warehouse spaces at Garden City Terminal for the purpose of stuffing and stripping containers. CX_000637; CX_000716; CX_001018. The fact that Respondents furnish warehousing should be sufficient to confer jurisdiction to the Commission. See 46 C.F.R. § 525.1(13); 46 U.S.C. § 40102 (an entity furnishing warehousing comes under the definition of a marine terminal operator).¹⁰

Moreover, Respondents are the exclusive provider of services essential to the terminal's core functions of receiving, handling, storing and delivering cargo.¹¹ See CX_000221; CX_000587. Respondents are the sole providers of checking at the Ports' terminal facilities, that is "[t]he service of counting and checking cargo against appropriate documents for the account of the cargo or the vessel, or other person requesting same." See 46 CFR §525.1(c)(3). This checking is performed presently on behalf of CSC and Gateway by members of ILA Local 1771 and ILA

¹⁰ CSC's and SCSPA's licensing agreement also provides that CSC shall provide **line-handling** services for shipping vessels docking and departing from the terminal—giving the Commission another reason to exercise jurisdiction over CSC. CX_000222.

¹¹ These services which fall under the Commission's definition of terminal services: "**checking, dockage, free time, handling, heavy lift, loading and unloading, terminal storage**, usage, wharfage, and wharf demurrage, as defined in this section. The definitions of terminal services set forth in this section shall be set forth in terminal schedules, except that other definitions of terminal services may be used if they are correlated by footnote, or other appropriate method, to the definitions set forth herein. Any additional services which are offered shall be listed and charges therefor shall be shown in the terminal schedule." 46 C.F.R. § 525.1(c)(19) (emphasis added).

Local 1475, respectively. McLaughlin Decl. ¶¶ 3-5; Sims Decl. ¶¶ 3-5; CX_000221; CX_000390; CX_000441; CX_000587. Further, while the Commission does not exercise jurisdiction over companies that solely perform stevedoring, it is clearly essential to the operation of a marine terminal.¹² And Respondents are the exclusive providers of these stevedoring services at the terminals. Brave Decl. ¶¶ 3-5, 8, 33; Mosley Decl. ¶¶ 3-5; CX_000221; CX_000390; CX_000441; CX_000587. In *Petition of S. Carolina State Ports Auth. for Declaratory Order*, 27 S.R.R. 1139, 1166 (FMC 1997), the Commission stated that while it did not “regulate stevedoring” *per se*, it does have regulatory authority over practices related to stevedoring because stevedores “are the means by which property is moved from the point at which it is considered to be received by the carrier from the shipper into the vessel and from the vessel to the point at which it is considered to be delivered by the carrier to the consignee. Any marine terminal or common carrier regulation or practice governing such services comes within the literal ambit of section 10(d)(l) and may not be said to be outside the Commission’s jurisdiction.” CX_000164.

In performing these functions, Respondents are significantly involved in the business of ocean carriers. *See Plaquemines I*, 21 S.R.R. at 1080 (explaining that heavy involvement in the business of carriers confers jurisdiction to the Commission). Respondents set their own rates and negotiate and contract directly with the shipping lines on their fees. CX_000245-63; CX_000556-84; Mosley Decl. ¶ 21; Sims Decl. ¶ 19. Respondents also communicate directly with the carriers on pre-vessel operations and stowage, which refers to where the cargo is placed or “stowed” in the vessel. Mosley Decl. ¶¶ 18-19; Sims Decl. ¶¶ 17-18; McLaughlin Decl. ¶¶ 9-16. CSC and Gateway employ members of ILA Local 1771 and ILA Local 1475 to develop and plan stowage

¹² Respondents own and operate their equipment located on the terminal facilities. Brave Decl. ¶¶ 18-19; *see also* CX_000175.

of shipping containers throughout the marine terminal in the Ports. Mosley Decl. ¶ 18; Sims Decl. ¶ 17; McLaughlin Decl. ¶¶ 9-16; Brave Decl. ¶ 17. For example, in Charleston, before a ship calls in the Port, the carrier will begin to develop a pre-stowage agreement with CSC and a member or members of ILA Local 1771. McLaughlin Decl. ¶ 12; Brave Decl. ¶ 17. CSC and ILA Local 1771 then communicate on a daily basis with the carrier to complete the pre-stowage arrangement, setting forth where within the marine terminal operator the carrier's cargo will be stored based upon multiple factors; e.g., the cargo's weight, final destination, whether or not the cargo must be refrigerated, whether the cargo is containerized or break bulk, whether the cargo is hazardous, etc. McLaughlin Decl. ¶ 13; *see also* Mosley Decl. ¶ 19; Sims Decl. ¶ 18

Respondents have exclusive control over vessel operations at the terminals. *See* Mosley Decl. ¶¶ 16-17; Sims Decl. ¶¶ 15-16; Brave Decl. ¶¶ 18-19; McLaughlin Decl. ¶ 19; CX_000180; CX_000202; CX_000221; CX_000390; CX_000441; CX_000587. It is Respondents' domain at the dock when a ship is berthed at the dock—Respondents supervise and direct both their own employees **and** the state employees when cargo is being loaded/unloaded onto and off the vessels. *See* Sims Decl. ¶¶ 15-16; Mosley Decl. ¶¶ 16-17; Brave Decl. ¶ 20. For example, Respondents oversee state employees working on the terminal when operating shore-based cranes to load/unload containers on and off the vessels. *See* Sims Decl. ¶¶ 15-16; Mosley Decl. ¶¶ 16-17; Brave Decl. ¶ 20.

But Respondents control over the terminal does not end at the dock and wharf area—it extends throughout the terminal facility. *See, e.g.,* Mosley Decl. ¶ 10. CSC and Gateway direct the cargo from the vessel to a designated point within the terminal for pick-up by drayage or road truck (for import) and direct the cargo from a designated point within the terminal to the vessel

(for export).¹³ See CX_000264-65; Mosley Decl. ¶c 22-23; Sims Decl. ¶¶ 20-1; *see also* McLaughlin Decl. ¶¶ 27-29. When cargo is being imported, Respondents have sole responsibility over assigning the final discharge location for the cargo from the vessel on the terminal, reconciling the cargo on the vessel, transporting the cargo by yard truck to the stacking area where the truck picks up the cargo, and directing state employees operating heavy machinery to lift the containers onto the yard truck and then off the truck and onto the “stack.” CX_000265; *see also* Mosley Decl. ¶¶ 22-23; Sims Decl. ¶¶ 20-1; Brave Decl. ¶¶ 20, 22. Respondents also provide input to the Port Authority on the berthing assignment of the vessel and the location on the terminal where to assign the container before pick-up by road truck. CX_000265; *see also* CX_000221 (CSC and SCSPA agree to consult on berthing availability and productivity).

As to exports, Respondents provide input on where the containers are stored in the terminal prior to being moved to the vessel and are responsible for verifying that containers are correct, vessel operations and stowage, and the delivery of the containers from the stacking area to the vessel. CX_000264; McLaughlin Decl. ¶¶ 11, 14. Likewise, Respondents supervise and direct state employees operating cranes to move containers from the stacks and onto yard trucks and from the yard trucks onto the vessels. Brave Decl. ¶ 20; Mosley Decl. ¶ 23. Within the stacking areas, Respondents direct the state employees where the containers are to be positioned and the sequence in which they are moved. Mosley Decl. ¶ 23; Sims Decl. ¶ 21; McLaughlin Decl. ¶¶ 9-16.

In most areas of the marine terminal, Respondents either have primary control of the operation (vessel operations, stowage, gate operations, location assignment of the cargo after

¹³ The “Export Process Flow” and “Import Process Flow” charts describe this process in detail. See CX_000264-65.

discharge from the vessel, and movement of the cargo to and from the vessel to the stacking area, etc.) or are given input on the areas within the Port Authority's control (berthing assignments, where the containers are stacked or stored in the yard, etc.). See CX_000264-65; Mosley Decl. ¶¶ 9-23; Sims Decl. ¶¶ 9-21; Brave Decl. ¶ 22; McLaughlin Decl. ¶¶ 9-16. This level of integration and coordination between Respondents and the Port Authorities in the terminal operations demonstrates Respondents' shared control over the terminal facilities in the Ports.¹⁴

As further evidence of their role in the operation of the terminal facilities, Respondents maintain office space directly on the terminals. Sims Decl. ¶¶ 43-51; Mosley Decl. ¶¶ 30-35; CX-000199; CX_000591. In Savannah, Gateway clerks and checkers work out of an office building which Gateway leases, named Raes Hall, located on Garden City Terminal, as well as a smaller office building on Ocean Terminal. Sims Decl. ¶¶ 43-51; Mosley Decl. ¶¶ 30-35; CX_000371; CX_000419; CX_000591; CX_000693. At Raes Hall, Gateway employees have their own offices and work together with GPA employees on pre-vessel operations. Sims Decl. ¶¶ 45-49; Mosley Decl. ¶¶ 32-35. Gateway restricts who has access to this building and is responsible for its maintenance and upkeep. Sims Decl. ¶ 46; Mosley Decl. ¶ 33; CX_000375. Respondent CSC

¹⁴ Evidencing their shared control over the Ports' terminal facilities are clauses in the parties' licensing agreements that incentivize CSC and Gateway to optimize productivity and efficiency at the terminal facilities. In Charleston, CSC and the SCSPA "agree to consult with each other for, and develop protocols and guidelines for the safest, most efficient, most competitive services" in the multiple areas involving vessel operations, yard planning, and berthing. CX_000221; *see also* CX_000214 (parties agree to notify each other regarding unsafe conditions and equipment failures related to terminal facilities and share new technologies/software). CSC further agrees to assist the SCSPA "**in building the volume of business handled at the Port and shall generally work to promote a positive image of South Carolina maritime activities and the [SCSPA].**" CX_000222 (emphasis added). And in Savannah, GPA has built in extensive key performance indicators and performance targets as requirements for Gateway to maximize the terminal facilities' productivity and efficiency. CX_000589; CX_000616-19.

likewise maintains office space directly on the terminals in Charleston, where ILA Local 1771-represented employees work. CX-000199; McLaughlin Decl. ¶¶ 32-24. CSC is also responsible for the repair and maintenance of this space. McLaughlin Decl. ¶¶ 32-34. Also, in Charleston, CSC and SCSPA are parties to a Master Port Facility License Agreement, where CSC licenses the use of the terminal facilities. CX_000180. This allows CSC a license for use and improvements of multiple locations on the terminal (i.e., office buildings and other office space, equipment storage areas, and terminal yard space), as well as use of common facilities. CX_000180-1; CX_000199.¹⁵

Indeed, the footprint of Respondents at the terminals is **massive**. Respondents Gateway, CSC, SSA, Ports America, and Ceres lease or license multiple locations from GPA and SCSPA at the terminal facilities, including office buildings and office space (CX_000199; CX_000523; CX_000640; CX_001098-1099; CX_001059), different warehouse and storage spaces (CX_000199; CX_000637; CX_000719; CX_001065), open field areas and yard space (CX_000199; CX_001065; CX_000652-654; CX_000896; CX_000915; CX_001098-1099; CX_001100), training areas (CX_000652-654; CX_000522-523), and other terminal spaces (CX_000199; CX_000222). Respondents are responsible for the maintenance and repair of the

¹⁵ The Master Port Facility Licensing Agreement grants CSC additional control over terminal facilities: it allows CSC to make improvements to the facility at its own cost; requires CSC to maintain and repair the facility at its own expense; makes CSC responsible for all spilled liquids and absorbent materials; requires CSC to provide a storm-water pollution plan and a hurricane plan; requires CSC to pay electricity, water, sewer, and storm-water fees; and allows CSC to retain an independent operator to manage the day-to-day operations of the facility. CX_000181; CX_000184; CX_000186; CX_000190. CSC is also required to obtain its own insurance (worker's comp, all risk, general liability, etc.). CX_000193; *see also* CX_000213 (license agreement also providing that CSC must obtain its own insurances in the provision of its services to SCSPA). Likewise, Gateway is required to obtain its own insurances as part of its service license agreement with GPA. CX_000592.

facility property they lease and license. CX_000640-647; CX_000896-900; CX_000361-363; CX_001065-1097.

Further illustrative of Respondents' general control over terminal facilities is that they are responsible for maintenance and repair, daily clean-up of facility work spaces, and preventing property damage at the terminals. *E.g.*, CX_000185; CX_000382; CX_000468; CX_000615; CX_000643; CX_000657; CX_000720; CX_000737; CX_000788; CX_000810; CX_000843; CX_000865; CX_000884; CX_000889; CX_000900; CX_000933; CX_000953; CX_001016; CX_001069. Respondents are also responsible for providing essential safety and security services in conjunction with their other terminal services in Savannah and Charleston. *E.g.*, CX_000609; CX_0001888. Gateway and CSC are responsible for their own safety and security while working on the port. CX_000609 ("Gateway shall be solely responsible for taking reasonable precautions and steps to ensure and maintain a safe work environment at the Terminal for its members, employees, contractors, subcontractors and invitees."); CX_0001888 ("The Ports Authority shall not be liable for the safety or security of any persons or property on the Facility or Terminal. [CSC], in its discretion, may provide appropriate surveillance or security and alarm systems to assure the security and safety of the Facility and protection of persons or property at the Facility."). Gateway also works directly with the GPA on matters of Port safety through a joint Safety Committee, and is required to meet daily to discuss safety-related matters. CX_000609; CX_000505.

Finally, **perhaps most importantly** Respondents also control the truck gate interchanges at the terminals in both Ports. As discussed in detail above, *see supra* pp. 13-18, Respondents have independent control over the land-based gates that provide ingress and egress for the road trucks picking up and delivering cargo.

Therefore, the Commission has personal jurisdiction over Respondents because they are simply operating the marine terminals in the Ports. Indeed, the sheer breadth of Respondents' control over the Ports' facilities certainly has more than "a discernible effect on the commercial relationship between shippers and carriers," as required for jurisdiction under the Act. *Plaquemines I*, at 21 S.R.R. at 1079.

Despite the many ways that Respondents operate and control marine terminals in the Ports, Respondent argue that the Commission has no personal jurisdiction over them. To agree with the Respondents' position would mean that the Commission is completely divested from jurisdiction over the two largest Ports in the Southeastern United States, given that the Commission has no jurisdiction over the public-sector port authorities. *See Fed'l Maritime Comm'n v. South Carolina Ports Auth.*, 535 U.S. 743 (2002).

CONCLUSION

For the foregoing reasons, the Commission should find that it has jurisdiction over Respondents because they are marine terminal operators in Charleston and Savannah.

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Respondents' counsel of record by email on this 15th Day of May, 2023.

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